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Political Analysis Governments are investing heavily into AI and digital innovation, which will open up more opportunities for organisations to develop AI-driven products and services. The UK Government is set to £500 million Sovereign AI Fund on 16 April 2026, marking a more active approach to shaping the domestic artificial intelligence market (Ashfords, 2026). Following this, the UK have a massive backing to be a centre point for Artificial Intelligence. Sensitive Industries, more specifically Public Sector/Defence and Healthcare, benefit from data sovereignty as they keep sensitive data within national borders. Data located outside of the UK causes issues as data is then subjected to the laws of where the data centre physically sits on. From this, UK regulators would have limited authority in the event of national security incidents (TechUK, 2024). Stakeholder Impact UK Businesses are protected with Data sovereignty as data is stored within UK Borders. More opportunities also open for product teams to work with Public Sector clients to create Products and services that meet their needs. Action Steps Ensure AI products comply with changing government regulations and ethical standards. Also ensure to regularly review AI policies and governance frameworks during product development.	Economic Analysis The deepfake economy has grown to become a \$7.5 billion market, with some predictions projecting that it will hit \$38.5 billion by 2032 (FastCompany, 2025). An example of this was an advertiser reportedly used a deepfake of Tom Hanks to promote dental plans without the actor's permission. (MacDonald, 2023) With the amount of influence Tom Hanks has, his reputation could've been easily destroyed if anyone had become a victim to the scam. Deepfake detection is becoming critical across sectors for various reasons. Businesses are increasingly integrating deepfake detection for fraud prevention, brand protection, identity verification and content moderation (GOV, 2026). Stakeholder Impact Business reputation could be on the line if they are involved in a Deepfake scandal which can negatively affect trust. The general public are at risk of impersonations that can be used for crimes such as blackmail. Action Steps Ensure that product teams protect themselves and consider adopting a secure by design approach by embedding security throughout product lifecycles (KPMG, N/A).	Social Analysis The lack of skills may impact how product teams maximise efficiency in their systems if they cannot resolve skill gaps in the market. 97% of respondents surveyed identified at least one gap in skills in the AI labour market. 57% of businesses reported a technical skills gap, while 30% reported a non-technical skills gap (GOV, 2026). To combat this, Apprenticeships have risen from 3% of AI hires in 2020 to 19% in 2025, providing structured, experience-based training (GOV, 2026). Government funded IT bootcamps and courses are starting to arise to combat this. From a 23/24 financial year, there were 60,410 starts with the completion rate for these bootcamps was 71%. (GOV, 2025) Stakeholder Impact Product Teams may be affected by missing out on the opportunity to design and build products and services if the required skills to keep up with the market are not satisfactory. Action Steps Ensure that teams have adequate and frequent training on AI and Machine Learning to ensure that teams can upskill and continue to provide business in the growing market.
T Technological	L Legal	E Environmental
Technological Analysis Rapid advancements in Generative AI are allowing product teams to innovate faster and develop smarter digital products. AI can support tasks such as: Rapid prototyping Predictive Analytics Customer Insights This can help product managers improve decision-making and reduce development time which can give organisations a competitive advantage. Stakeholder Impact Customers can benefit from AI products and services while product teams can benefit from automating any tedious tasks which can help speed up the whole product lifecycle process. Action Steps Continue to investing in AI innovation and other emerging technologies such as cloud computing. Gradually implement AI for tasks that can increase speed to deploy AI-powered products efficiently such as rapid prototyping.	Legal Analysis Product teams must ensure AI systems are secure and legally compliant. UK GDPR and data protection compliance are critical considerations. It is extremely important that strict data protection and security requirements are met across UK facilities, particularly for public sector and defence-related operations, as the consequences of non-compliance are severe. As highlighted within data sovereignty requirements, sensitive data must be regulated and protected within UK jurisdiction to safeguard national assets, both digitally and physically (GDPR.EU, NA) Stakeholder Impact As these requirements are very strict, businesses within the public sector benefit for not having any of their data overseas; everything is kept locally. Product teams must ensure that any products and services comply with GDPR and data protection regulations when using AI. Action Steps Product Teams and projects must ensure that any sensitive data is kept within an on-premises server to prevent any malicious attacks. Also ensure security clearance is set as a requirements to project teams.	Environmental Analysis AI systems will require hyperscale data centres to store data and train models. There is increasing pressure to ensure that the UK meets its net zero commitments by 2030, particularly as energy consumption continues to rise (NESO, 2024). The adoption of renewable energy sources and efficient, sustainable water cooling systems is essential to minimise environmental impact. The use of water cooling systems helps reduce environmental impact, while long-term investment in renewable energy supports carbon reduction goals. The UK Government are very supportive of including data centers as Critical National Infrastructure which is on the same level as Energy and Water Systems (GOV, 2024) Stakeholder Impact Businesses and product teams may face an increased pressure to ensure that AI driven products and services operate sustainably. Regulators are becoming more aware of the amount of energy is required for Artificial Intelligence which creates legislations and deadlines to follow. Action Steps Product teams should ensure that they are aware of their countries regulations in regards to the environment and ensure that their products and services are aligned.